All News | Biogas (CBG)

Maha govt clears land transfer for MGL's biogas project at Deonar

By **Randhir Patil** May 21, 2025



Mumbai: The Maharashtra state government has approved the transfer of 18 acres of land in Deonar from the Brihanmumbai Municipal Corporation (BMC) to Mahanagar Gas Limited (MGL) for setting up two compressed biogas plants. The project will be developed in two phases and will process 1,000 tonnes of wet waste daily, reports The Times of India.

MGL is expected to invest over ₹600 crore in the construction and operation of the plants. The company anticipates earning around ₹74 crore annually from the sale of compressed biogas.

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The state cabinet, led by Chief Minister Devendra Fadnavis, approved the land allotment at a concessional rate. The land, valued at over ₹132 crore, will be leased to MGL for ₹72,843 per year for 20 years, with an option to extend for five more years. This move follows a memorandum of understanding signed between the BMC and MGL in June 2023.

The central government's Gobardhan scheme aims to establish 500 biogas projects across urban areas, including 75 bio-methanation facilities. While oil and gas companies will bear the cost of setting up these plants, states have been asked to provide land and infrastructure at minimal rates.

BMC's Deputy Municipal Commissioner for Solid Waste Management, Kiran Dighavkar, said the city will benefit from the project as it will help manage a significant portion of its daily wet waste.

Before construction begins, minor encroachments must be removed from the site earmarked for phase one, located on the edge of the Deonar dumping ground, where a BMC equipment garage currently exists. The site for phase two, within the dumping ground itself, requires bio-mining to clear the area.

Waste from hotels, restaurants, banquet halls, and vegetable markets will be sorted and sent to the facility. Each plant is expected to generate 18 tonnes of compressed biogas daily, which can be used as fuel for vehicles. The BMC will supply segregated wet waste free of charge, with a provision in place to handle up to 10% more than the planned 500 tonnes per day per phase.